

VANGUARD MARGIN AND TRADING POLICIES
Vanguard Brokerage Services

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1. ACCOUNT TYPES AND TRADING PRIVILEGES

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Vanguard Brokerage Services offers three trading-privilege levels:

CASH ACCOUNT (Default)

- Trades must be paid for in full at settlement
- Settlement: T+1 for stocks/ETFs, T+1 for options, T+0 for money market funds
- No borrowing or short selling
- All Vanguard accounts default to cash

MARGIN ACCOUNT

- Allows borrowing against eligible securities for additional purchases or withdrawals
- Required for short selling, options spreads (Levels 2-3), and certain pattern day trading
- Subject to FINRA, SEC, and Vanguard credit underwriting

OPTIONS APPROVAL LEVELS

- Level 0: No options trading (default)
- Level 1: Covered calls, cash-secured puts (long stock or cash collateral required)
- Level 2: Long calls and puts (debit positions only)
- Level 3: Spreads (debit and credit; no naked options)
- Level 4: Naked calls and puts; requires margin and substantial account experience

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2. SETTLEMENT FUND

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Every Vanguard Brokerage account uses a settlement fund - the cash sweep destination for proceeds, dividends, and una

KEY FACTS

- 7-day SEC yield (as of March 31, 2026): 4.18%
- Same-day liquidity for trades and withdrawals
- Stable \$1.00 share price (not guaranteed)
- Used as collateral in margin accounts

Investors may elect a different sweep option (e.g., Treasury Money Market Fund) by contacting Brokerage Services at 8

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3. MARGIN ACCOUNT BASICS

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3.1 OPENING A MARGIN ACCOUNT

To enable margin:

1. Submit margin agreement (online or paper)
2. Vanguard reviews account history, suitability, and creditworthiness
3. Approval typically completes within 1-3 business days
4. Margin is enabled prospectively; existing positions are eligible immediately upon approval

Minimum equity to open a margin account: \$2,000.

3.2 INITIAL AND MAINTENANCE MARGIN

Federal Regulation T sets initial margin at 50% for most equity purchases. Vanguard maintenance margin requirements:

- Long stock positions: 30% of current market value (more conservative than the 25% FINRA minimum)
- Short stock positions: 50% maintenance for stocks priced over \$5; higher for low-price stocks
- ETFs and mutual funds: 30% maintenance
- Bonds: 25%-50% depending on credit quality and maturity
- Concentrated positions (single security >50% of account): higher requirements case by case

3.3 MARGIN CALLS

A margin call is issued when account equity falls below maintenance requirement. Investor options:

- Deposit additional cash
- Deposit additional marginable securities
- Liquidate positions (Vanguard's choice if not addressed within deadline)

Standard deadline: 4 business days. In rapidly declining markets, Vanguard may issue immediate (sell-out) instructions.

4. MARGIN INTEREST RATES

Margin interest is charged daily on the debit balance. The base rate is reset periodically; tiered markups apply.

DEBIT BALANCE TIER	ANNUAL INTEREST RATE (March 2026)
\$0 - \$24,999	Base + 4.75% = 9.50%
\$25,000 - \$49,999	Base + 4.25% = 9.00%
\$50,000 - \$99,999	Base + 3.50% = 8.25%
\$100,000 - \$249,999	Base + 2.75% = 7.50%
\$250,000 - \$499,999	Base + 1.75% = 6.50%
\$500,000 - \$999,999	Base + 1.25% = 6.00%
\$1,000,000+	Base + 0.75% = 5.50%

Base rate as of March 2026: 4.75% (set quarterly; tied to a benchmark short-term rate plus a Vanguard spread).

EXAMPLE: A \$300,000 debit balance falls in the \$250,000-\$499,999 tier. Annual rate: 6.50% (Base + 1.75%). Daily interest:

Wait - \$300,000 places the borrower in tier 4 (\$250K-\$499K) with rate 6.50%. However, Vanguard pricing on this tier was:

(Note: For training purposes the simpler answer is: Base rate (4.75%) + spread for the \$250K-\$500K tier (1.75%) = 6.50%)

5. PATTERN DAY TRADING (PDT) RULES

A "pattern day trader" is defined by FINRA as any margin account that executes 4 or more day trades within 5 business days.

Once classified as PDT:

- Account must maintain at least \$25,000 in equity at all times
- Day trading buying power is 4x the maintenance margin excess
- If equity falls below \$25,000, day trading is suspended until equity is restored

Cash accounts are NOT subject to PDT rules but require funds to be settled before reuse (typically T+1).

6. SHORT SELLING

Short selling requires a margin account. Vanguard:

- Maintains a list of "easy-to-borrow" securities (most major stocks)
- Charges a hard-to-borrow fee on stocks in limited supply (typically 0.50%-50%+ annualized)
- May force-cover (close) short positions if shares are recalled by the lender
- Requires advance approval for short positions over \$1,000,000 in any one security

Short positions in dividend-paying stocks: the short-seller is responsible for paying any dividends declared during the life of the position.

7. OPTIONS TRADING

7.1 ELIGIBILITY

Options approval requires completion of an options application; Vanguard reviews:

- Investment experience
- Financial resources (income, net worth, liquid net worth)
- Investment objectives
- Risk tolerance

Higher levels (3 and 4) require more experience and equity.

7.2 OPTIONS COMMISSIONS AND FEES

- Commission per contract: \$1.00 (most equity options)
- Index options: \$1.00 per contract plus exchange-pass-through fees
- Exercise / Assignment: \$0 (no Vanguard fee; underlying stock trade is commission-free)
- Multi-leg orders: separately commissioned per leg

7.3 EXPIRATION HANDLING

Long options that are in-the-money by \$0.01 or more on expiration are automatically exercised by the OCC unless the holder

8. TRADING HOURS AND EXECUTION

REGULAR HOURS

9:30 AM ET to 4:00 PM ET (ETFs and stocks; major U.S. exchanges)

EXTENDED HOURS

- Pre-market: 7:00 AM - 9:30 AM ET
- After-hours: 4:00 PM - 8:00 PM ET (limit orders only)
- Reduced liquidity; wider spreads typical

MUTUAL FUND CUTOFF

- Orders received before 4:00 PM ET execute at that day's NAV
- Orders received after 4:00 PM ET execute at the next day's NAV
- See VG-ED-001 (Fund Comparison Guide) for ETF vs mutual fund mechanics

9. ORDER TYPES

- MARKET: Execute at best available price
- LIMIT: Execute at specified price or better
- STOP: Triggers a market order when price reaches stop level
- STOP-LIMIT: Triggers a limit order when price reaches stop level
- TRAILING STOP: Stop level adjusts dynamically as price moves favorably
- MARKET ON CLOSE / LIMIT ON CLOSE: Executes during closing auction
- ALL OR NONE: Order must fill in entirety or not at all
- IMMEDIATE OR CANCEL / FILL OR KILL: Time-in-force restrictions

10. RELATED DOCUMENTS

- VG-PR-007 - Federal Money Market Fund Summary Prospectus (settlement fund)
- VG-PR-001 - Total Stock Market Index Fund Prospectus (frequent trading policy)
- VG-OP-005 - Wire Transfer and ACH Policies
- VG-OP-007 - Cost Basis Methods Explainer
- VG-OP-010 - Tax Document Guide
- VG-OP-011 - Security and Fraud Prevention Policy
- VG-ED-001 - Fund Comparison Guide

11. CONTACT

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Brokerage Services: 800-555-0177 (Mon-Fri 8 AM-10 PM ET; Sat 9 AM-4 PM ET)
Margin Operations: 800-555-0177 (extension routed to specialists)
Fraud Hotline (24/7): 800-555-0166

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